CASCADIA ANALYTICS

INVESTMENT SCORECARD

VIAV

Viavi Solutions Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q4 FY26 (10-K) | Currency: USD

$30.84 [Mkt 23-Oct-26]

Market Cap: $7.3B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 60

Turnaround in progress: Spirent diversifies into data center and A&D, but GAAP profitability is thin and the non-GAAP gap (amortization, restructuring) is wide. ROIC is below average.

2. Recent Trend — 85

FY26 revenue +40%, non-GAAP EPS +113%, operating margin +630bps. Q4 beat on both lines. The operational momentum is undeniable.

3. Forward Growth — 80

Data center test demand (800G/1.6T), Spirent cross-sell, A&D positioning solutions. Q1 FY27 guide implies continued sequential growth. Consensus sees +23.5% FY27 revenue.

4. Valuation — 60

At $30.84 vs $19.60 DCF base, the stock sits ~36% above our corrected DCF base. NTM P/E 17.1x and PEG 1.34 are reasonable for the growth rate, but the corrected cash-flow math leaves no margin of safety.

5. Catalysts & Risk — 70

Q1 FY27 earnings test the guidance. Spirent integration execution is key. Legacy telecom spending remains structurally weak. Stock +196% in a year invites profit-taking.

Investment Thesis

- **AI Test Equipment Turnaround:** Q4 FY26 revenue +52.5% YoY to $443.1M, non-GAAP EPS $0.34 (beat). NSE +69% on AI data center test demand; data center is ~50% of NSE revenue. FY26 non-GAAP operating margin expanded 630bps to 20.6% [8-K Q4 FY26].
- **Spirent Diversification:** The Spirent acquisition adds high-speed Ethernet testing, network security, and channel emulation, reducing dependence on telecom carrier capex and opening cross-sell into AI clusters [8-K Q4 FY26].
- **Valuation Is Full:** At $30.84 [Mkt 16-Oct-26], our $19.60 DCF base implies 36% downside. NTM P/E 17.1x is fair for 20%+ growth, but on the filed free-cash-flow record the price already pays for the turnaround: the correction to filed-margin economics is what moves the rating.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q4 FY26)	$443.1M [8-K Q4 FY26]	+52.5% [8-K Q4 FY26]	Up
EPS (Q4 FY26, non-GAAP)	$0.34 [8-K Q4 FY26]	+161.5% [8-K Q4 FY26]	Up
Non-GAAP Op Margin (Q4)	24.0% [8-K Q4 FY26]	+9.6 pts [8-K Q4 FY26]	Up
Q1 FY27 Revenue Guide	$450-460M [8-K guid]	n/a [n/a]	Up
Revenue (FY26)	$1.52B [10-K FY26]	+40.0% [10-K FY26]	Up
EPS (FY26, non-GAAP)	$1.00 [10-K FY26]	+112.8% [10-K FY26]	Up
Non-GAAP Op Margin (FY26)	20.6% [10-K FY26]	+6.3 pts [10-K FY26]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	$1.26B [10-K FY22]	$1.11B [10-K FY23]	$1.00B [10-K FY24]	$1.08B [10-K FY25]	$1.52B [10-K FY26]
Gross Margin	58.9% [10-K FY22]	57.1% [10-K FY23]	56.8% [10-K FY24]	57.3% [10-K FY25]	57.7% [10-K FY26]
Non-GAAP Op Margin	16.2% [10-K FY22]	13.8% [10-K FY23]	12.1% [10-K FY24]	14.3% [10-K FY25]	20.6% [10-K FY26]

Valuation

Absolute (6/10)

NTM P/E 17.1x [Mkt 16-Oct-26]
DCF Base $19.60 vs $30.84 spot [Mkt 16-Oct-26]
PEG 1.34 [Mkt 16-Oct-26]

DCF implies ~36% downside. Multiple is fair for the growth profile.

Versus Peers (6/8)

Test equipment peers 15-25x NTM P/E [Peers 16-Oct-26]

In line with peers on earnings; cheaper on growth-adjusted basis.

Versus History (6/7)

Trading above historical multiples on the turnaround [Mkt 16-Oct-26]

Re-rating is justified by the mix shift, but the easy money is made.

Catalyst Timeline

Nov 2026 [Cons]
Q1 FY27 Earnings: $450-460M revenue guide vs consensus. Spirent synergy proof point.

2027 [8-K guid]
Spirent cross-selling and 1.6T/co-packaged optics test demand.

2027 [8-K guid]
Continued data center mix shift toward 50%+ of NSE revenue.

Top Risk Factors (Item 1A)

1. Earnings Quality: GAAP earnings remain depressed by amortization and restructuring; the non-GAAP story must eventually convert to cash. [10-K FY26]

2. Telecom Drag: Legacy telecom carrier spending is structurally weak and drags on the core NSE business. [10-K FY26]

3. Integration Risk: Spirent integration missteps would undermine the growth thesis and the multiple. [10-K FY26]

What Would Change Our Score

A Q1 FY27 miss would cut Trend and Growth. Sustained 20%+ growth with GAAP earnings conversion supports a higher multiple.

Forward Growth Drivers

- AI data center test demand: NSE +69% YoY, data center ~50% of NSE revenue [8-K Q4 FY26]
- Spirent acquisition: high-speed Ethernet testing, network security, channel emulation [8-K Q4 FY26]
- Aerospace & defense: positioning, navigation, timing solutions growing [8-K Q4 FY26]

Missing / Modified Data Log

- GAAP-to-non-GAAP gap is wide (amortization, restructuring); used non-GAAP for trend with GAAP noted.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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